

Economic and Social Development

A. ECONOMIC DEVELOPMENT

Nature of Indian Economy

1. Which type of economy does India have?

- (a) Socialist
- (b) Gandhian
- (c) Mixed
- (d) Free

53rd to 55th B.P.S.C. (Pre) 2011

Ans. (c)

Indian economy is a prominent example of mixed economy. A mixed economic system is a system that combines aspects of both capitalism and socialism. A mixed economic system protects private property and allows a level of economic freedom in the use of capital, but also allows for governments to interfere in economic activities in order to achieve social aims. Mixed economies typically maintain private ownership and control of most of the means of production, but often under government regulation and socialize selected industries that are deemed essential or that produce public goods. Gandhian socialist economy is based on decentralisation and equal distribution of resources without any exploitation and violence. Self-employment and self-reliance are key features of Gandhian self-sufficient economy.

2. The main source of national income of India is-

- (a) industry
- (b) agriculture
- (c) forest
- (d) foreign trade

39th B.P.S.C. (Pre) 1994

Ans. (b)

In the year 1993-94, the share of agriculture in national income was 28.24 percent, industry 26.73 percent, mining 3.26 percent, manufacturing 14.59 percent and services 44.76 percent. Thus the main source of national income of India was agriculture as per the given options. As per the latest data, currently the largest source of Gross Value Added (GVA) of India is the tertiary sector i.e. service sector. According to the Economic Survey, 2023-24, the sequence of various sectors in terms of contribution to GVA in the year 2023-24 at current prices are as follows -
(i) service sector (54.7%), (ii) industrial sector or secondary sector (27.6%) and (iii) agricultural sector or primary sector (17.7%).

3. India's progress has been satisfactory-

- (a) in relation to increase in gross national product
- (b) regarding reduction in unemployment
- (c) in relation to per capita income
- (d) regarding reduction in inequality

39th B.P.S.C. (Pre) 1994

Ans. (a)

The progress in respect of any of the given options in the question period is not satisfactory, but option (a) is the nearest correct option than all other options. For the present excluding the year 2020-21, option (a) is the best answer. Except for the first five-year plan, till the year 1974 i.e. till the fourth plan, the actual growth of national income in all the plans has been less than the set target. The rate of growth of national income in the period from 1980 to the present can be considered satisfactory. The highest growth rate so far among the various 12 Five Year Plans of India was recorded in the 10th Five Year Plan, in which the average annual growth rate of national income was 7.6%.

4. Which of the following Five-Year Plans was focussed on Human Resource Development?

- (a) Fifth
- (b) First
- (c) Third
- (d) More than one of the above
- (e) None of the above

68th B.P.S.C. (Pre) 2022

Ans. (e)

8th Five-Year Plan was focussed on Human Resource Development. The period of 8th five-year plan was 1992-97. The target growth rate was 5.6% but the actual growth rate was 6.8%. The goals were to control population growth, reduce poverty, generate employment and focus on human resource development etc.

5. Indian Sixth Five-Year Plan (New) period relates to

- (a) 1978-83
- (b) 1980-85
- (c) 1979-84
- (d) 1981-86
- (e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (b)

The sixth five-year plan in India spanned from 1980 to 1985. This plan focused on achieving certain economic and social objectives, including improving agricultural production, reducing poverty, promoting employment opportunities and enhancing infrastructure development.

- To prevent over population, family planning was introduced.
- On the recommendation of the Sivaraman Committee, the National Bank for Agriculture and Rural Development was established.

6. The aim of the New Economic Policy of 1991 was-

- (a) Liberalisation (b) Privatisation
(c) Globalisation (d) all of these

42nd B.P.S.C. (Pre) 1997-98

Ans. (d)

The new economic policy adopted by the Government of India in July, 1991 is addressed by L.P.G. which means-
L- Liberalisation
P- Privatisation and
G- Globalisation.

7. It will be true to classify India as :

- (a) A food-deficit economy
(b) A labour-surplus economy
(c) A trade-surplus economy
(d) A capital-surplus economy

48th to 52nd B.P.S.C. (Pre) 2008

Ans. (b)

India is classified as a labour-surplus economy because of its large population and with an unlimited number of workers willing to work at a subsistence wage. India is projected to have a skilled-labour surplus of around 245.3 million workers by 2030, owing mainly to its vast supply of working-age citizens and government programmes to boost worker's skills.

8. What was the unemployment rate during July 2021 to June 2022 of Bihar as per the Periodic Labour Force Survey?

- (a) 7% (b) 8%
(c) 5% (d) 6%

B.P.S.C. Assistant Mains (GK) Paper II 2023

Ans. (d)

Unemployment Rate (UR) is defined as the percentage of persons unemployed among the person of labour force. The unemployment rate from July 2021 to June 2022 of Bihar as per the periodic labour force party was 6%. As per the latest available Annual PLFS Reports, the estimated Unemployment Rate on usual status for persons of age 15 years and above was 3.9% (2022-23) in Bihar.

9. Who is called the 'Father of India's Economic Reforms'?

- (a) Jawaharlal Nehru (b) Indira Gandhi
(c) Dr. Manmohan Singh (d) P.V. Narasimha Rao

47th B.P.S.C. (Pre) 2005

Ans. (d)

After the Congress Government came to power at the end of June, 1991, the then Finance Minister Dr. Manmohan Singh started implementing economic reforms from July, 1991 which was called 'New Economic Policy'. The Prime Minister at this time was PV Narasimha Rao. For this reason, the policy of liberalization is also called the Rao-Manmohan model. P.V. Narasimha Rao is called the 'Father of India's Economic Reforms' and Dr. Manmohan Singh is called the 'Pioneer' of economic reforms.

10. What is the meant by joint sector in Indian Economy?

- (a) The share of the government in an enterprise is more than 60%.
(b) Any item is produced in both public and private sectors.
(c) It is another name for cooperative sector.
(d) Both public and private sector have the ownership in an enterprise.

40th B.P.S.C. (Pre) 1995

Ans. (d)

India's Industrial Policy 1948, 1951 and now in 1991 under the joint sector both government and private sectors have been given the right to produce goods in any industry. That is, any item can be produced in both government and private sectors. The 'B' schedule in the Industrial Policy-1951 has been related to such a sector. Joint sector in the economy means joint participation of government and private company in an industry. In order to make government enterprises profitable, some of its parts (shares) are given to the private sector, from which higher management and technology are obtained.

11. First Industrial Policy in India was issued on

- (a) 31 March, 1948 (b) 03 April, 1948
(c) 06 April, 1948 (d) 25 March, 1948
(e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (c)

The First Industrial Policy of Government of India was announced on 6 April, 1948. The policy aimed at outlining the approach to Industrial growth and development. It emphasised the importance to the economy of securing a continuous increase in production and ensuring its equitable distribution.

12. New Industrial Policy of India, 1991 is based on

- (a) liberalization (b) privatization
(c) globalization (d) All of the above
(e) None of the above / More than one of the above

B.P.S.C. Auditor 2021

Ans. (d)

The New Industrial Policy of 1991 in India was primarily based on liberalization, privatization and globalization (LPG). This policy aimed to open up the Indian economy to foreign investment, reduce government intervention, encouraging competition, and promote private sector participation in various industries. It marked a significant shift from the earlier era of protectionism and state control over the economy.

13. In which year was the Industrial Policy Resolution adopted?

- (a) 1956 (b) 1954
(c) 1952 (d) 1950

69th B.P.S.C. (Pre) 2023

Ans. (a)

Industrial Policy Resolution was adopted in 1956. These policy continued to constitute the basic economic policy for a long time.

14. One of the problems in calculating National Income in India is :

- (a) under-employment (b) inflation
(c) low level of savings (d) non-organized sector
(e) None of the above / More than one of the above

63rd B.P.S.C. (Pre) 2017

Ans. (d)

Non-organized sector is one of the main problems in calculating National Income in India. Quite often, the unorganized sector, i.e., small scale units, agriculture sector, etc., do not keep proper records relating to workers and other factors of production for various reasons. Other main problems in calculating National Income in India includes : Inadequate and unreliable data, problems of double counting, non-monetized sector, black money transactions, illegal income, problem of transfer payments (old age pensions, scholarships, etc.), problem of definition of National Income, etc.

15. As the economy develops, the national income share of tertiary sector-

- (a) first decreases, then increases
(b) first increases, then decreases
(c) goes on increasing
(d) goes on decreasing

47th B.P.S.C. (Pre) 2005

Ans. (c)

As the economy develops, the share of the tertiary sector, which is called the service sector, in the national income increases and the share of the primary sector, which includes agriculture and allied activities, gradually decreases. According to the Economic Survey 2023-24, the contribution of primary sector, secondary sector (industry sector) and tertiary sector in India's Gross Value Added (GVA) in the year 2023-24 at current price are 17.7%, 27.6% and 54.7% respectively.

16. The money accruing from the sale of 'National Savings Certificates' goes to which account of the Government of India?

- (a) Consolidated Fund of India
(b) Prime Minister's National Relief Fund
(c) Public Account of India
(d) Contingency Fund of India
(e) None of the above/More than one of the above

B.P.S.C. CDPO 2018

Ans. (c)

The money accruing from the sale of National Saving Certificates goes to the public account of the Government of India. According to Article 266(2) of the Indian constitution. All other public money received by or on behalf of the Government of India or the Government of a state shall be credited to the public account of the State as the case may be.

17. As per the Economic Survey, 2023, which of the following statements describe(s) the trend of Foreign Direct Investment in India?

1. It has decreased due to the less participation of the private sector.
2. It has increased compared to the prepandemic levels.
3. It has increased rapidly without decreasing in any Financial Year after the telecom sector was entirely reformed.
4. It has decreased due to a weak global economic situation.

Select the correct answer using the codes given below.

- (a) Only 1 and 3 (b) 2 and 4
(c) 1, 2 and 3 (d) Only 4

69th B.P.S.C. (Pre) 2023

Ans. (d)

As per the Economic Survey, 2023, the trend of Foreign Direct Investment in India has decreased due to a weak global economic situation, global conflicts and high borrowing costs.